Project Falcon: Comprehensive Due Diligence Report

Draft for Investment Committee discussion

October 18, 2026

Proposed acquisition of Talonfield Systems, Inc. (NASDAQ: TLFS) by Arbelion Industries, Inc.

Fictional case study

Prepared by an AI multi-agent diligence system with human review

> This report is a draft for human decision-makers. It is not investment, legal or accounting advice. All companies, people and numbers are fictional. Amounts are US$ millions unless stated.

2. Executive summary

Proposed recommendation: Do not proceed at the current price. The Investment Committee makes the decision.

The $24.00 offer rests on a management case that the company withdrew on August 6, 2026. At the deal model's own 11.5x multiple, current earnings support $13.61 to $17.35 per share, which is 27.7% to 43.3% below the offer, before any allowance for the Vantor patent case or the Norvale termination right. If Arbelion wants to stay in the process, it should re-price from current earnings and make the protections in Section 7 conditions of any revised bid.

Top five red flags

1. **The valuation basis is out of date (X-01, Critical).** FY2026 Adjusted EBITDA guidance is $70.0M to $78.0M. The midpoint of $74.0M is 37.3% below the model's $118.0M. At $24.00 the enterprise value of $1,352.8M is 18.3x the guidance midpoint, not 11.5x.
2. **The Vantor patent case threatens the core product (X-05, Critical).** Vantor claims at least $140.0M (12.1% of equity value) and seeks a permanent injunction against Talon Gen-3 robots, about $211.0M or 42.0% of FY2025 revenue. The July 22, 2026 claim-construction ruling went mostly against Talonfield. No accrual is recorded.
3. **This deal triggers Norvale's termination right (X-06, Critical).** Norvale is the largest customer: $156.2M, 31.1% of FY2025 revenue. It may terminate on 90 days' notice after a change of control, has no minimum volume, returned $9.4M of goods in May 2026, and bought a robot startup to "reduce our dependence on any single vendor".
4. **Revenue quality and controls (X-03, X-04, X-08, High).** $31.8M of Q4 2025 revenue was bill-and-hold. Without it FY2025 growth is 11.6%, not 19.1%. The prior auditor was dismissed after it said Q4 deals of this type needed more audit work, the CFO left with a $0.9M payment, and the material weakness is not remediated. The latest 10-Q leaves out events that had already happened, such as the Vantor ruling.
5. **Covenant headroom is thinner than reported (X-07, High).** The reported 2.26x leverage reproduces only if the credit agreement's 15% add-back cap is ignored. With the cap it is 2.67x at June 30, 2026, and it is projected near or above the 3.00x limit that applies from September 30, 2026 (projection). All $227.5M of debt can be called on a change of control.

Main positive and mitigating points

- FieldOS software revenue grew 14.6% in H1 2026, and ARR reached $146.8M (X-02, FIN-10).
- Q2 2026 revenue excluding the $9.4M return and $2.3M of outage credits grew 6.0% (FIN-18).
- $22.4M of the $31.8M bill-and-hold goods had been delivered by June 30, 2026, so most of the issue is timing (SEC-30, FIN-16).
- On the better reading of the cap, the covenant was met at June 30, 2026 (2.67x against 3.50x) (FIN-14).

- The Ruiz wage-and-hour settlement ($3.2M) is accrued and has preliminary court approval (LIT-07).
- Talonfield is #3 in a market forecast to grow about 15% a year, and FieldOS is described as a differentiator by a third-party study (NEWS-10).

Valuation implications

EBITDA basis	EBITDA	EV / EBITDA at $24.00	Price per share at 11.5x
Deal model FY2026E (reference)	118.0	11.5x	$24.09
FY2026 guidance midpoint (10-Q)	74.0	18.3x	$13.61
LTM Adjusted EBITDA, company definition	89.7	15.1x	$17.35
LTM analyst-adjusted (restructuring and implementation delays removed; judgment)	76.7	17.6x	$14.25
LTM covenant Consolidated EBITDA with 15% cap	75.9	17.8x	$14.06

Equity value $1,159.2M (48.3M shares x $24.00), net debt $193.6M at June 30, 2026, EV $1,352.8M (FIN-01, FIN-20). These figures do not deduct anything for the Vantor case, the Norvale termination right, deal costs ($28.6M of change-in-control payments, SEC-14) or a higher fully diluted share count (FIN-13, not verified). The 34% premium in the deal brief is measured against a price already lifted 12% by the October 2 sale leak; against the undisturbed price of about $15.36 the premium is about 56.3% (X-12, inference).

3. Answers to the six IC questions

Q1. Is Talonfield's revenue growth real and sustainable?

Partly real, not sustainable at the reported rate. FY2025 growth of 19.1% includes $31.8M of Q4 bill-and-hold revenue on goods still in Talonfield's warehouses at year-end; without it growth is 11.6% and Q4 growth is 5.1%, not 32.4% (X-03). In H1 2026 revenue fell 1.7%, hardware fell 12.9%, backlog is down 29.8% from its peak and software net revenue retention fell from 118% to 111% (X-02). The company cut FY2026 guidance to $470.0M to $490.0M, a decline on FY2025 (X-01). Software is the healthy part: +14.6% in H1 2026 (FIN-10).

Q2. Are there legal exposures that could reduce value or block closing?

Yes. The Vantor patent case is the largest: a $140.0M demand and an injunction request against products that were about 42.0% of revenue, with adverse rulings since July 2026 and trial on March 8, 2027 (X-05). The securities class action alleges improper bill-and-hold revenue (allegation) and names the CEO and former CFO; damages are not stated (LIT-04, SEC-10). Pinecrest, the #4 customer, claims $12.0M for the April 2026 outage against a cap Talonfield puts at about $1.4M (X-09). Several of these reach key dates between November 5 and November 20, 2026, around the IC date and exclusivity expiry (X-11). No merger-blocking regulatory matter was found in the records.

Q3. How dependent is Talonfield on key customers, and are those relationships at risk?

Highly dependent. Norvale is 31.1% of FY2025 revenue and the top 10 customers are 61.5% (FIN-07). The Norvale relationship is at risk in three ways: this merger triggers a 90-day termination right, Norvale has no minimum volume, and Norvale is building its own robots through Kinetic Aisle (X-06). Norvale also accounted for $24.6M of the bill-and-hold revenue and the $9.4M return, and 38% of gross receivables at December 31, 2025 (FIN-17, SEC-07). Pinecrest (#4, $17.4M) is suing Talonfield (X-09).

Q4. Are there balance sheet, debt or liquidity issues we would inherit at closing?

Yes, but they are curable at closing. Total debt is $227.5M and lenders may demand repayment on a change of control, so Arbelion must refinance it (SEC-06). Covenant headroom is thinner than the 2.26x the company reports: 2.67x with the 15% add-back cap, 3.65x on a strict reading that counsel should rule out, and projected near the 3.00x limit at September 30 and December 31, 2026 (X-07, projection). Cash fell to $33.9M, LTM free cash flow is -$26.4M and the revolver has $25.8M left (FIN-05, FIN-06). Working capital is stretched: DSO rose from 63.5 to 86.4 days in FY2025 and inventory rose 17.8% in H1 2026 (FIN-04, FIN-11). Tangible equity is negative (FIN-12, not verified).

Q5. Are there management, governance or internal control concerns?

Yes. The material weakness over hardware contracts, the dismissal of the auditor in place since 2016 after it called for more Q4 audit work, the CFO's exit with a $0.9M payment, the adverse controls opinion and the class action center on the same Q4 2025 transactions (X-04). Bonuses paid at 142% of target on revenue that included bill-and-hold (SEC-13). The 10-Q omits or softens events that had already happened (X-08), and the covenant ratio appears to be computed without the cap (X-07, inference). The CEO is also Chairman with no lead independent director, and the HQ is leased from his family with a rent reset on a change of control (X-14). An interim CFO has been in place since February 2026.

Q6. What price adjustments or deal protections should we ask for?

Re-price from current earnings: the guidance midpoint at 11.5x gives $13.61 per share, and LTM gives up to $17.35 (X-01). Further risk adjustment is needed for Vantor and Norvale. Section 7 lists the protections: Norvale consent and MSA extension as a closing condition, a Vantor escrow or contingent value right with an injunction-linked condition or termination right, a forensic revenue review and quality of earnings report before signing, special indemnities for accounting and cyber matters, debt payoff at closing, and an exclusivity extension.

4. Risk matrix

One row per distinct issue. Each parent finding lists its supporting findings in brackets. Every verified finding appears once.

ID [supporting]	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-01 [SEC-01, NEWS-01, FIN-01, FIN-20]	Deal model is stale. Guidance midpoint Adj. EBITDA $74.0M is 37.3% below the model's $118.0M; EV is 18.3x guidance. **Test: more than 10% of value**: at 11.5x, $13.61 per share, 43.3% below $24.00.	Cross-source (financial, SEC, news)	**Critical**	High	Valuation	Price: re-base the model on guidance and LTM; revised bid range set from current EBITDA
X-05 [LIT-01, FIN-19, SEC-09, LIT-02, SEC-22, SEC-23]	Vantor patent case: $140.0M demand, $96.4M expert damages, injunction sought on Gen-3 (about 42.0% of revenue), adverse claim construction, no accrual. **Test: more than 10% of value**: the injunction covers about $211.0M of revenue; the demand is 12.1% of equity value.	Cross-source (litigation, SEC, financial)	**Critical**	Medium	Valuation, closing, post-closing	Structure: escrow or CVR; condition or termination right tied to an injunction; independent patent opinion; further diligence on design-around
X-06 [SEC-08, NEWS-06, FIN-07, FIN-17]	Norvale (#1, $156.2M, 31.1%) may terminate on 90 days' notice after this change of control, has no minimum volume, returned $9.4M of goods and is building its own robots. **Test: more than 10% of value**: the right covers 31.1% of revenue.	Cross-source (SEC, news, financial)	**Critical**	Medium	Valuation, closing	Condition: Norvale consent or waiver and MSA extension before signing or as a closing condition; price adjustment if not obtained

ID [supporting]	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-03 [SEC-02, FIN-16, FIN-02, NEWS-02, LIT-04, SEC-17, SEC-31, SEC-30, FIN-04, NEWS-07, SEC-13]	$31.8M of Q4 2025 bill-and-hold revenue (77.4% Norvale); growth ex bill-and-hold 11.6%; $9.4M returned with no restatement; consistent with, but not confirming, the short seller allegation.	Cross-source	**High**	High	Valuation, disclosure	Further diligence: forensic revenue review; indemnity: special accounting indemnity or escrow
X-04 [SEC-03, NEWS-03, SEC-04, NEWS-04, SEC-10]	Material weakness, auditor dismissal, CFO exit with $0.9M payment, adverse ICFR opinion and class action cluster around Q4 2025.	Cross-source	**High**	High	Governance, post-closing	Indemnity: accounting reps and special indemnity; condition: remediation plan; further diligence: auditor and audit committee interviews
X-07 [FIN-14, FIN-15, SEC-05, SEC-24, SEC-25, SEC-06, FIN-06, FIN-05, SEC-07, SEC-32]	Reported 2.26x leverage reproduces only without the 15% cap (inference); capped 2.67x; projected near 3.00x after the step-down (projection); $227.5M callable on change of control; cash falling.	Cross-source	**High**	Medium	Financing, closing	Structure: payoff at closing; condition: no default, Sep 30 compliance certificate; interim operating covenants
X-08 [SEC-20, SEC-21, SEC-26, SEC-28, SEC-29]	10-Q omits the Jul 22 Vantor ruling and drops injunction and loss-range wording; describes the cyber incident as "some customers"; risk factors not updated.	Cross-source (SEC, litigation, news)	**High**	High	Disclosure, litigation	Indemnity: disclosure reps and special indemnity; further diligence: counsel review of disclosure
X-09 [NEWS-05, SEC-11, LIT-06, SEC-27]	April 2026 cyber incident: 40+ sites down up to 3 days; Pinecrest (#4) claims $12.0M; ransomware data-theft claim unverified (rumor); no Item 1.05 8-K.	Cross-source	**High**	Medium	Post-closing, reputation	Indemnity: cyber indemnity; further diligence: forensic report, other customer claims
X-10 [FIN-03, NEWS-08, FIN-08]	Add-backs are 46.3% of LTM Adj. EBITDA; restructuring added back every year since 2022; $13.8M would be disallowed under the covenant cap.	Cross-source	**High**	High	Valuation	Price: use adjusted EBITDA; further diligence: quality of earnings report

ID [supporting]	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-02 [FIN-09, FIN-10, FIN-11, FIN-18, NEWS-10]	Operating trend weakening: H1 revenue -1.7%, hardware -12.9%, gross margin 38.0%, backlog -29.8%, retention 111%, inventory +17.8%.	Cross-source	**High**	High	Valuation	Price: forecast reset; further diligence: H2 2026 bridge and pipeline
X-11 [LIT-03, LIT-05, LIT-07]	Pinecrest hearing Nov 5, IC Nov 6, amended class complaint Nov 9, PTAB decision expected in November, Vantor expert discovery closes Nov 20 (exclusivity end).	Cross-source (litigation, deal brief)	**High**	High	Process, closing	Structure: exclusivity extension; bring-down of litigation status at signing
X-12 [NEWS-11]	34% premium is measured on a leak-affected price; about 56.3% to the undisturbed price (inference).	Cross-source	**Medium**	Medium	Valuation framing	Price: present the premium against the undisturbed price
X-13 [SEC-19, NEWS-09]	Single China LiDAR supplier; proposed tariff rise from 7.5% to 25%, decision Q1 2027.	Cross-source	**Medium**	Medium	Post-closing margin	Integration plan: second-source qualification
X-14 [SEC-14, SEC-15]	Single-trigger equity vesting $17.6M; total change-in-control payments $28.6M; related-party landlord can reset rent on a change of control.	Cross-source (SEC)	**Medium**	High	Deal cost, post-closing	Structure: lease waiver or cap; retention plan

5. Workstream detail

5.1 SEC filings

Five filings were reviewed: the FY2025 10-K (filed Mar 9, 2026), the Q2 2026 10-Q (filed Aug 6, 2026), the 2026 proxy (filed Apr 24, 2026) and two 8-Ks (auditor change, Nov 14, 2025; CFO departure, Jan 21, 2026). All are excerpts.

- **Guidance withdrawn.** The 10-Q replaces the March outlook with revenue of $470-490M and Adj. EBITDA of $70-78M (SEC-01).
- **Bill-and-hold.** The 10-K Note 2 discloses $31.8M of Q4 2025 bill-and-hold revenue, $24.6M for the largest customer, with "2024: none material" (SEC-02). The 10-Q books a $9.4M return as a Q2 2026 revenue reduction and does not discuss restating Q4 2025 (SEC-30). The 10-K credited Q4 to "strong hardware deliveries"; the 10-Q now says orders were "pulled forward" (SEC-17, SEC-31).
- **Controls.** The 8-K on the auditor change reports that the prior auditor had identified a material weakness and said more Q4 audit work would be required; it was dismissed on Nov 10, 2025 (SEC-03). The new auditor gave an adverse controls opinion, and the weakness was not remediated at June 30, 2026.
- **Debt.** Total Net Leverage covenant of 3.50x stepping down to 3.00x from Sep 30, 2026, cash netting capped at $25.0M, add-backs capped at 15% (SEC-05). The 10-Q states 2.26x without a reconciliation (SEC-24) and says nothing on headroom at the step-down (SEC-25). Change of control is an event of default (SEC-06). Cash $33.9M, $25.8M of revolver available, H1 operating cash flow -$4.2M, and no 12-month liquidity statement (SEC-07, SEC-32).
- **Customers.** Norvale is 31.1% of revenue, can terminate on 90 days' notice after a change of control and has no minimum volume; the MSA runs to Sep 30, 2027 (SEC-08).
- **Legal disclosure.** Vantor seeks damages and an injunction; no accrual (SEC-09). The 10-Q does not mention the Jul 22 ruling (SEC-20), drops the injunction and loss-range wording (SEC-21), and neither filing states the claim amount (SEC-22). No filing after Aug 6 is in the folder (SEC-23). The class action is described generically, with no accrual for it or Pinecrest (SEC-10, SEC-29).
- **Cyber.** The incident is called "not material"; $1.8M of response costs are added back and $2.3M of credits reduce revenue (SEC-11, SEC-26, SEC-27). Risk factors are said to be unchanged except for securities litigation (SEC-28).
- **Compensation and governance.** Bonuses at 142% of target (SEC-13); single-trigger equity vesting of $17.6M (SEC-14); related-party HQ lease with a rent reset on a change of control (SEC-15); single-source LiDAR supplier in China (SEC-19).

5.2 News and media

Thirteen articles were reviewed. Reliability ranges from Medium-High (Capital Markets Wire, mostly reporting filings) to Low (the Greyfin short report, an interested party).

- **Guidance cut** (Aug 7, 2026): shares fell 14% to $16.40 (NEWS-01).
- **Short seller** (May 12, 2026, allegation): Greyfin alleged bill-and-hold sales were used to hit targets; shares fell 18%. Company filings are consistent with, but do not confirm, the allegation (NEWS-02).
- **Auditor switch and CFO exit**: the auditor change followed a material weakness finding (NEWS-03). Two anonymous sources link the CFO exit to Q4 revenue timing (rumor) (NEWS-04).

- **Cyber outage** (Apr 14, 2026): robots stopped at 40+ sites for up to three days; a ransomware group's data-theft claim could not be verified (rumor) (NEWS-05).
- **Norvale** (Jun 24, 2026): bought Kinetic Aisle to reduce dependence on any single vendor (NEWS-06).
- **Other**: receivables jumped and FY2025 operating cash flow was under $10M (NEWS-07); fourth restructuring since 2022 (NEWS-08); proposed LiDAR tariff (NEWS-09); market growing about 15% a year with Talonfield #3 at about 11% share (NEWS-10); sale leak on Oct 2 lifted shares 12% (rumor) (NEWS-11).

5.3 Litigation

Matter	Posture	Amount	Next date	Finding
Vantor Robotics v. Talonfield (D. Del., patent)	Active; adverse claim construction Jul 22, 2026; stay denied Sep 25	At least $140.0M claimed; $96.4M expert; injunction sought	Expert discovery closes Nov 20, 2026; mediation Dec 2026; trial Mar 8, 2027	LIT-01, LIT-02, LIT-03
In re Talonfield Securities Litigation (S.D. Ohio)	Lead plaintiff appointed Sep 10, 2026	Not stated	Amended complaint due Nov 9, 2026	LIT-04, LIT-05
Pinecrest Distribution v. Talonfield (Franklin Cty.)	Pleadings stage	$12.0M claimed; cap about $1.4M per Talonfield	Hearing Nov 5, 2026	LIT-06
Ruiz v. Talonfield Field Services (Cal. Super.)	Settled; preliminary approval May 20, 2026	$3.2M, accrued	Final approval Nov 13, 2026	LIT-07
Delmarco Electrical (LIT-005) and OSHA (REG-001)	Closed	$0.4M; $48 thousand penalty	None	Low relevance

All claims and damages figures are allegations or demands that a court has not decided. No insurance or supplier indemnity is mentioned in the court records.

5.4 Financial analysis

The statements tie: quarterly revenue sums to annual totals, the balance sheet balances, cash ties to the cash flow and the Adjusted EBITDA reconciliation rebuilds exactly.

Metric	FY2023	FY2024	FY2025	H1 2026 / LTM Jun 30, 2026
Revenue	368.9	421.7	502.3	H1 222.6 / LTM 498.4
Revenue growth	18.1%	14.3%	19.1% (11.6% ex bill-and-hold)	H1 -1.7%
Gross margin	40.1%	40.8%	41.1%	H1 38.0%
EBITDA (reported)	42.2	52.3	64.1	LTM 48.2
Adjusted EBITDA (company)	60.4	74.8	98.8	LTM 89.7
Add-backs share of Adj. EBITDA	30.1%	30.1%	35.1%	LTM 46.3%
Operating cash flow	30.8	40.8	9.7	LTM -6.9
Free cash flow	16.2	24.6	-10.1	LTM -26.4

Metric	FY2023	FY2024	FY2025	H1 2026 / LTM Jun 30, 2026
DSO (days)	60.4	63.5	86.4	76.3
Inventory	55.2	63.9	71.3	84.0
Cash	54.8	48.3	41.6	33.9
Total debt	120.0	200.0	220.0	227.5
Net debt	65.2	151.7	178.4	193.6
Covenant leverage (capped / reported)	n/a	n/a	n/a	2.67x / 2.26x (limit 3.50x)
Norvale share of revenue	n/a	28.0%	31.1%	n/a
FieldOS ARR	86.0	109.5	139.2	146.8
Software net revenue retention	121%	119%	118%	111%
Hardware backlog	142.0	168.0	131.0	118.0

Key points: the model's EBITDA is not supported by current trading (FIN-01, FIN-20); growth depends on Q4 2025 and Norvale (FIN-02, FIN-16, FIN-17); add-backs are recurring (FIN-03, FIN-08); receivables, contract assets and inventory built up (FIN-04, FIN-11); cash conversion collapsed and buybacks were in effect debt-funded (FIN-05, inference); leverage is rising (FIN-06); the capped covenant ratio is 2.67x and projected near the 3.00x limit (FIN-14, FIN-15, projection); Gen-3 revenue at risk is about $211.0M (FIN-19); margins and KPIs are weakening (FIN-09, FIN-10); Q2 2026 excluding credits grew 6.0% (FIN-18).

6. Cross-source insights

What combining sources showed that no single source did:

1. **The covenant ratio does not follow the covenant definition.** The 10-K defines the cap; the 10-Q states 2.26x; only the company financials show that 2.26x requires uncapped add-backs (X-07).
2. **The 10-Q was filed after events it does not mention.** The court docket shows the adverse Vantor ruling on July 22, 2026; the 10-Q filed August 6 calls the case "in discovery". Trade press reports 40+ sites hit by the outage; the 10-Q says "some customers" (X-08).
3. **One set of Q4 2025 transactions links five findings.** The auditor's warning, the bill-and-hold revenue, the CFO exit, the short report and the class action all concern the same quarter (X-03, X-04).
4. **A one-off number from a filing changes the growth story.** Applying the 10-K's $31.8M bill-and-hold to quarterly data cuts Q4 growth from 32.4% to 5.1% and FY2025 growth to 11.6% (X-03).
5. **The largest customer risk is triggered by this deal.** The 10-K termination right, the news on Kinetic Aisle and the 10-Q's "largest customer" return together point at Norvale (X-06).
6. **Litigants are customers.** Pinecrest, a plaintiff, is the #4 customer ($17.4M) (X-09).
7. **The deal brief has stale assumptions.** It uses withdrawn guidance (X-01) and a premium measured after a sale leak (X-12).
8. **The court calendar lands on the deal timeline.** Five dated events fall between November 5 and November 20, 2026 (X-11).

7. Recommended deal protections and price considerations

Price

- Re-price from current earnings. At the model's 11.5x the range is $13.61 (guidance midpoint) to $17.35 (LTM company Adjusted EBITDA) per share (X-01).
- Make further risk adjustments for Vantor (X-05) and Norvale (X-06), using an EBITDA basis that excludes recurring add-backs (X-10).

Structure

- **Vantor:** an escrow or contingent value right sized to the claim, plus a closing condition or termination right tied to any injunction ruling (X-05). Outside counsel should confirm what works for a public target.
- **Debt:** pay off and refinance all $227.5M at closing, and replace the $4.2M of letters of credit (X-07).
- **Timing:** extend exclusivity beyond November 20, 2026 so the Pinecrest ruling, the PTAB decision and the amended class complaint are known before signing (X-11).

Closing conditions

- Norvale consent or waiver of its change-of-control termination right, and an MSA extension (X-06).
- No covenant default, with the September 30, 2026 compliance certificate delivered (X-07).
- Bring-down of litigation status at signing (X-11).

Indemnities and reps

- A special indemnity for accounting and restatement risk on the 2025 bill-and-hold revenue (X-03, X-04).
- A cyber indemnity and data-security reps (X-09).
- Disclosure reps covering the 10-Q omissions (X-08).

Further diligence before signing

- A forensic revenue review and a quality of earnings report (X-03, X-10).
- An independent patent and design-around opinion (X-05).
- Review of the full credit agreement (X-07).
- Interviews with the prior auditor and the audit committee (X-04).

Other terms

- A waiver or cap on the related-party lease rent reset (X-14).
- An executive retention plan, given single-trigger vesting (X-14).

8. Open questions and management request list

1. September 30, 2026 covenant compliance certificate and Consolidated EBITDA bridge. Was the 15% cap applied? Does stock-based compensation sit inside it? Any waiver or amendment?
2. Q3 2026 results and the quarterly EBITDA for Q3 and Q4 2025.
3. Bill-and-hold: written customer requests, the substantive reason for each arrangement, delivery status, the ASC 250 analysis of the $9.4M return, and Linden Barr's view on whether a restatement is needed.
4. Reason for dismissing Hartwell & Pryce; audit committee minutes; Exhibit 16.1; remediation timeline for the material weakness.
5. Reason for the $0.9M CFO payment; status of the permanent CFO search; any clawback of 2025 bonuses.
6. Norvale: order trends since June 2026; willingness to waive the change-of-control right; the MSA's change-of-control definition; the Kinetic Aisle pilot scope.
7. Vantor: rebuttal damages report, counsel's ASC 450 assessment, design-around options and cost, settlement talks, insurance and any supplier indemnity.
8. Why the 10-Q omits the July 22 ruling and the injunction and loss-range wording; any 8-K filed since August 6, 2026.
9. Cyber incident: forensic report, number of customers and sites affected, Item 1.05 materiality analysis, response to the ransomware claim, other customer claims, patch remediation.
10. D&O, cyber, E&O and IP insurance limits and notices for the Vantor, securities and Pinecrest matters.
11. Segment cost of revenue and hardware gross margin; Gen-3 share of H1 2026 hardware revenue and backlog.
12. Lumora revenue and EBITDA against its acquisition case; interim goodwill test since the guidance cut.
13. Detail of each restructuring program and the "customer implementation delays" costs.
14. Fully diluted share count at $24.00 and the equity award schedule.
15. Hale Family Properties: waiver or cap of the rent reset.
16. LiDAR second-source plan and modeled tariff cost.
17. Debt payoff amounts and any prepayment fees.
18. H2 2026 bridge: what drives the 47.5% step-up in Adjusted EBITDA implied by guidance.

9. Appendix

9.1 Methodology

Architecture. A lead agent coordinated four read-only specialist subagents, one per data source: SEC filings, news and media, litigation, and financial analysis. A fifth read-only subagent, the citation verifier, checked findings against the source files. All work was recorded in a working memory folder (plan, findings register, open questions, datasets, full analyst reports, run log). Web access was blocked, and only the files in `data/` were used.

Iterations.

- **Iteration 1:** all four analysts in parallel, 51 findings.
- **Iteration 2:** narrow follow-ups to the financial analyst (covenant ratio under the 10-K definition, bill-and-hold effect, Gen-3 exposure, valuation bridge) and the SEC analyst (disclosure timing), 20 more findings.
- **Cross-source analysis:** the lead agent created 14 `X–` findings.
- **Stopping point:** the run stopped after 2 of 3 iterations, because the remaining gaps are not in the available data.

Checkpoint log.

Checkpoint	Date	Decision
1. Approve the plan	Oct 18, 2026	"approve". The plan summary was not printed in chat before the question; the user approved the plan as written in memory.
2. Review red flags	Oct 18, 2026	"proceed"
3. Sign off	Oct 18, 2026	"approve report"

Verification statistics.

- **Runs:** four verifier runs in parallel (SEC; news and litigation; financial; cross-source).
- **Scope:** 79 findings checked, covering all 51 Critical and High findings plus 27 Medium and 1 Low.
- **Results:** 59 Verified, 20 Partially verified (rewritten with the verifier's wording), 0 Rejected.
- **Main corrections:**
  - percentage direction in X-01 and FIN-20;
  - the FIN-20 price range (now $13.61 to $17.35);
  - Norvale identified as the customer behind the $9.4M return;
  - "may demand" repayment wording;
  - NEWS-02 changed from "partly confirmed" to "consistent with";
  - SEC-26 lowered to Medium.

9.2 Index of verified findings

Verified (59):

- SEC-01, SEC-02, SEC-03, SEC-04, SEC-05, SEC-08, SEC-09, SEC-10, SEC-11, SEC-13, SEC-15, SEC-17, SEC-19, SEC-20, SEC-22, SEC-23, SEC-24, SEC-27, SEC-28, SEC-29, SEC-30, SEC-31, SEC-32
- NEWS-01, NEWS-02, NEWS-06, NEWS-07, NEWS-08, NEWS-09, NEWS-10, NEWS-11
- LIT-01, LIT-04, LIT-05, LIT-06, LIT-07
- FIN-01, FIN-02, FIN-03, FIN-04, FIN-05, FIN-07, FIN-08, FIN-09, FIN-10, FIN-11, FIN-14, FIN-16, FIN-18, FIN-19
- X-02, X-04, X-05, X-08, X-09, X-10, X-12, X-13, X-14

Partially verified, corrected wording used (20):

- SEC-06, SEC-07, SEC-14, SEC-21, SEC-25, SEC-26
- NEWS-03, NEWS-04, NEWS-05
- LIT-02, LIT-03
- FIN-06, FIN-15, FIN-17, FIN-20
- X-01, X-03, X-06, X-07, X-11

9.3 Findings not verified

ID	Finding	Severity	Status
SEC-12	Ruiz wage-and-hour settlement of $3.2M accrued; preliminary approval May 20, 2026 (the litigation side, LIT-07, is verified)	Low	not verified
SEC-16	CEO is also Chairman, no lead independent director; CEO owns 14.2%	Low	not verified
SEC-18	Goodwill of $98.4M last tested Oct 1, 2025, before the guidance cut; no interim test mentioned	Medium	not verified
NEWS-12	FieldOS 5 features need Gen-3 or newer robots; software target is a management aspiration	Low	not verified
FIN-12	Goodwill plus intangibles of $132.5M exceed equity of $92.0M; tangible equity -$40.5M	Medium	not verified
FIN-13	The 48.3M diluted share count is a loss-period weighted average; fully diluted shares at $24.00 may be higher (inference)	Low	not verified

9.4 Source index

Folder	Files
`data/sec-filings/`	TLFS_10-K_FY2025_excerpts.md; TLFS_10-Q_Q2-2026_excerpts.md; TLFS_DEF14A_2026_excerpts.md; TLFS_8-K_2025-11-14_auditor-change.md; TLFS_8-K_2026-01-21_cfo-departure.md
`data/news/`	13 articles dated Nov 18, 2025 to Oct 2, 2026 (Capital Markets Wire, Columbus Business Ledger, Warehouse Tech Review, Supply Chain Dispatch, RoboEconomy Weekly)
`data/litigation/`	LIT-001_vantor-v-talonfield.md; LIT-002_ruiz-v-talonfield.md; LIT-003_securities-class-action.md; LIT-004_pinecrest-v-talonfield.md; docket_index.csv
`data/financials/`	income_statement.csv; revenue_quarterly.csv; balance_sheet.csv; cash_flow.csv; adjusted_ebitda_reconciliation.csv; revenue_by_customer.csv; kpis.csv

Folder	Files
`data/deal-brief.md`	Deal terms, valuation basis and IC questions

Note: finding IDs such as LIT-02 are analyst finding numbers. They are separate from the court file IDs such as LIT-002 (the Ruiz case).

9.5 Limitations

- **Incomplete sources.** The SEC files are excerpts. Statements that a filing "does not mention" something apply to the excerpts provided.
- **No Q3 2026 data.** No Q3 2026 results, compliance certificates, credit agreement or Norvale MSA text were available. The covenant projections and the Gen-3 exposure are estimates.
- **No management access.** There has been no management access, quality of earnings report or legal opinion.
- **Unproven claims.** Court claims, the short seller report and anonymous news sources are allegations or rumors and are labeled as such.
- **Analyst judgment.** The analyst-adjusted EBITDA reflects a judgment on which add-backs recur.
- **No prompt injection found.** No source file contained text that tried to instruct the agents.